# GMS WEEKLY

Your Source for Recycling News

November 18th, 2022
Volume 244, Issue 1057
*Week 46*


**Highlights:**

- **Markets down.**
- **Further fall.**
- **LC issues.**
- **Back to trading.**
- **Seeking buyers.**
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QUOTE of the WEEK

**"You can never leave footprints that last if you are always walking on tiptoe."**

*– Leymah Gbowee*

## MARKET COMMENTARY

## PROLONGED MALAISE!

All recycling destinations across the Indian sub-continent and even Turkey have been suffering a prolonged and agonizing malaise over the past six months (at least), one that's showing no sign of abating any time soon.

In fact, prices have deteriorated even further this week at all sub-continent locations and receiving indications / offers – even in the USD 400s/LDT on small LDT units - is gradually becoming a reality.

As such, any Ship Owner expecting some of the better levels (even from last week) will have to readjust their expectations much lower, in order to bring any sort of firm offer to the table.

L/Cs are continually proving to be extremely difficult to get approved these days, especially in Bangladesh, where the government is not sanctioning any fresh L/Cs for vessels, leading to a virtual standstill of the industry there.

Indeed, we have seen multiple vessels enter the market and turn straight back around for trading (even at the reduced dry bulk and container levels of today), having either not found a Buyer with a ready L/C or having suffered embarrassingly low offers.

The price ideas mentioned below are simply illusory, as the key thing today is finding a firm End Buyer at a reasonable level and with a workable L/C, which is turning out to be the most challenging of issues facing Cash Buyers at present.

Overall, it is expected to be a dark and bleak winter for a withering ship recycling industry, especially after the decade long high in prices above USD 700/LDT whilst business boomed during the early part of this year.

For week 46 of 2022, GMS demo rankings / pricing for the week are as below.

| Demo Rank | Location | Sentiment | Dry Bulk USD / LDT | Tankers USD / LDT | Containers USD / LDT |
|---|---|---|---|---|---|
| 1 | India | Weak | 515 / LDT | 525 / LDT | 535 / LDT |
| 2 | Pakistan | Weak | 510 / LDT | 520 / LDT | 530 / LDT |
| 3 | Bangladesh | Weak | 500 / LDT* | 510 / LDT* | 520 / LDT* |
| 4 | Turkey | Weak | 240 / LDT | 250 / LDT | 260 / LDT |

**Subject L/C approval*

# BANGLADESH

## STARVED!

*Unable to perform.*

Bangladesh is a country that is currently starved of U.S. Dollars and as a consequence, starved of tonnage as well. The Central State Bank is reportedly not approving any L/Cs at present, even for purchases of USD one million.

As a result, no vessels are heading towards Chattogram for recycling at present.

*Steel slide.*

Port reports are emptying out and other than a tiny unit that arrived the waterfront this week, there is essentially no fresh recycling tonnage arriving Bangladeshi shores. While demand should be firming given the current circumstances, there is very little End Buyers can do without having their finances in place, in order to secure tonnage.

Steel plate prices have also been volatile with nearly no movement over the last couple of weeks (at the new lows). Even the currency has been fluctuating wildly, jumping between BDT 102 to BDT 106 throughout the week, which is providing no incentive domestic Buyers to come forward with any sort of firm levels in the market.

No trading has even taken place this week on steel products, such is the dire market situation and currency crisis in Bangladesh at present.

**NO MARKET SALES REPORTED**

# INDIA

## UNCERTAIN!

As the main performing market (without the L/C issues that Bangladesh and Pakistan have been facing of late), India is still suffering much uncertainty over where prices should realistically stand today.

*Lacking confidence.*

Volatility in fundamentals remain in place as steel plate prices have come crashing down by nearly USD 27/Ton this week and the currency, though stable, is still standing at a worrying Rs 81.6X against the U.S. Dollar.

End Buyers and steel traders in the country have thus taken to purchasing steel imports (one vessel laden with steel cargo arrived Kandla a few weeks ago) at much lower levels than current ship recycling prices.

*Fears.*

As it stands, Alang Recyclers have entered into a wait-and-watch mode, anticipating and fearing further falls ahead, even expecting to see new a normal into the USD 400s/LDT by the end of the year.

**NO MARKET SALES REPORTED**

# PAKISTAN

## TWO MINDS!

*Holding off.*

Pakistan Buyers remain in two minds – whether to go for the paucity of tonnage available in the market, or whether to hold off anticipating further market declines ahead – especially as U.S. 400/Ton prices start to emanate from India and the Pakistani market has been historically mirroring India's offerings.

Rates have come down into the low USD 500s/LDT – in tandem with competing markets. Yet, obtaining any firm and serious numbers from tentative End Buyers is proving to be a real challenge once again.

*Performance issues.*

While local steel plate prices have declined a marginal USD 5/Ton this week, it was the Pakistani Rupee that has Gadani Recyclers on caution again as the PKR declined past PKR 223 against the U.S. Dollar.

Performance issues are also at the forefront of Cash Buyer minds after some terrible stories in the form of blatant renegotiations seen at the waterfront earlier this year on arriving vessels.

***Note: In last week's edition, there was a typo in the reporting of the Pakistani Rupee against the U.S. Dollar. The correct value was PKR 220.60 against the U.S. Dollar. We apologize for any inconvenience this may have caused.***

**NO MARKET SALES REPORTED**

# TURKEY

## DEAD!

After consecutive weeks of declines in an already languishing import and local steel plate price, the market has seemingly continued its dormant performance this week, with no market sales or even news of market tonnage being proposed to local Buyers.

*Dormant performance.*

Aliaga yards remain empty, plate prices dead, the Lira is still buoying around the 18.6X mark, and with no units on offer, there is a deathly quiet emanating from this Aliaga.

As the sub-continent markets continue to falter, Turkey seems to be stealing a book from them – especially in terms of overall performance. Pricewise, it does not seem as though Turkish levels will plummet further on fresh tonnage, given how disastrously their levels have already fallen within the year.

*Turkey, like sub-continent.*

Certainly, seems like a quiet winter ahead.

**NO MARKET SALES REPORTED**

# AMAZING FACTS

- *Penicillin was first called "mold juice". In 1928, bacteriologist Alexander Fleming left a petri dish in his lab while he was on vacation—only to return and find that some liquid around the mold had killed the bacteria in the dish. This became the world's first antibiotic, but before naming it penicillin, he called it "mold juice."*
- *The first stroller was engineered to be pulled by a goat (or animal of similar size). William Kent, a landscape architect, invented the first stroller for the third Duke of Devonshire in 1733. But upper-class parents were hardly expected to put effort into transporting their children around, so Kent designed his model to be pulled by a small animal, like a goat.*
- *May 20, 1873, is the "birthday" of blue jeans. According to the Levi Strauss company, this was the day that Levi Strauss and Jacob Davis, the innovators behind the sturdy blue jeans we all love, got a patent on the process of adding metal rivets to men's denim work pants. The pants were called waist overalls until 1960, when baby boomers began calling them jeans.*
- *170-year-old bottles of champagne were found at the bottom of the Baltic Sea. The bottles of bubbly are believed to have been traveling from Germany to Russia during the 1800s when they sank to the bottom of the sea, according to New Scientist. It turns out that the bottom of the sea, where temperatures are between two and four degrees Celsius, is a great place for wine aging.*

## IMPORTANT DATES

| INDIA | |
|---|---|
| **BANK HOLIDAYS** | **BEACHING TIDES** |
| | November 22 – November 29<br>December 05 – December 13<br>December 2- December 29 |

| BANGLADESH | |
|---|---|
| **BANK HOLIDAYS** | **BEACHING TIDES** |
| **No holidays in November** | November 22 – November 25<br>December 06 – December 09<br>December 23 – December 26 |

| IMPORTANT BANK HOLIDAYS | | |
|---|---|---|
| **CHINA** | **PAKISTAN** | **TURKEY** |
| **No holidays in November** | **No holidays in November** | **No holidays in November** |

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## ALANG - Port Position as of November 18, 2022

| No. | VESSEL NAME | LDT | TYPE | STATUS |
|---|---|---|---|---|
| 1 | Izhora | 1,625 | Dredger | Arrived November 11 |
| 2 | LS 2 | 18,597 | Crane Ship | Arrived November 15 |
| *3* | *Serenity (Under Tow)* | *2,828* | *Bulk Carrier* | *Beached November 13* |
| 4 | Tampen | 2,882 | Supply Vessel | Arrived November 16 |
| 5 | Venturer | 477 | Supply Vessel | Arrived November 16 |
| **Total Tonnage** | | **26,409** | | |

## CHATTOGRAM - Port Position as of November 18, 2022

| No. | VESSEL NAME | LDT | TYPE | STATUS |
|---|---|---|---|---|
| **1** | **Ariana** | **15,672** | **Tanker** | **Arrived June 22** |
| **2** | **Gala** | **16,885** | **Tanker** | **Arrived February 28** |
| 3 | Nigado | 632 | Fishing Support Vessel | Arrived November 16 |
| **4** | **Winton T128** | **975** | **Bulk Carrier** | **Arrived June 23** |
| **Total Tonnage** | | **34,164** | | |

## GADANI - Port Position as of November 18, 2022

| No. | VESSEL NAME | LDT | TYPE | STATUS |
|---|---|---|---|---|
| | | **No new vessels reported** | | |
| **Total Tonnage** | | **-** | | |

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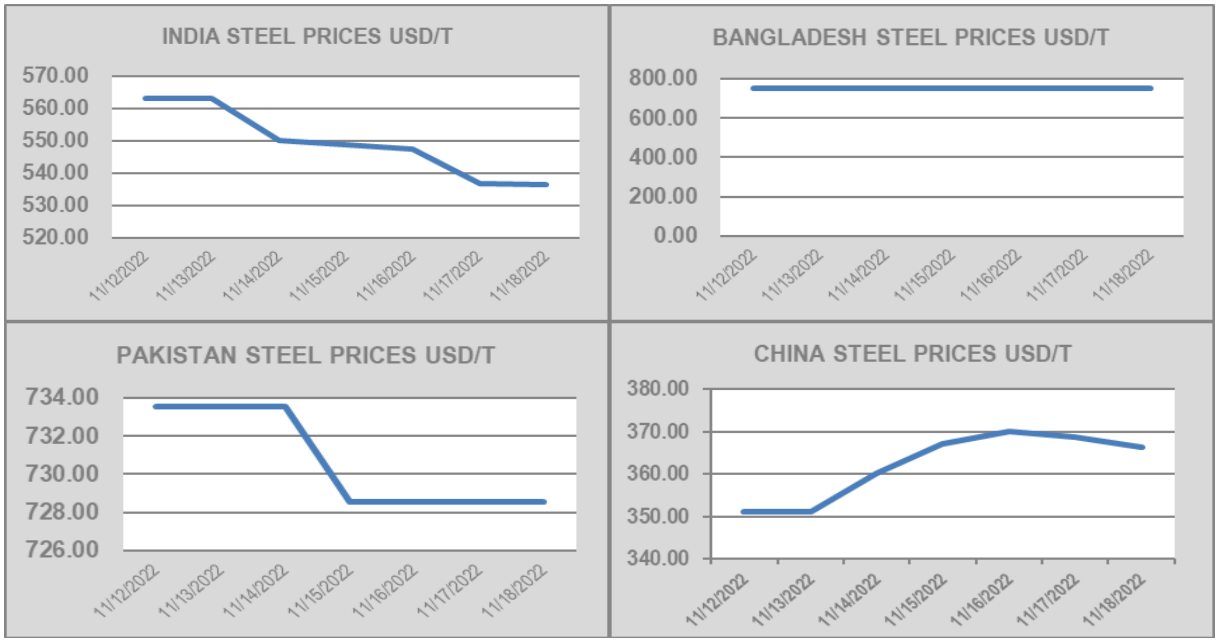
# Steel Plate Prices

| DATE | INDIA STEEL PRICES USD/T | INDIA STEEL PRICES | PAKISTAN STEEL PRICES USD/T | PAKISTAN STEEL PRICES | BANGLADESH STEEL PRICES USD/T | BANGLADESH STEEL PRICES | CHINA STEEL PRICES USD/T |
|---|---|---|---|---|---|---|---|
| 11/12/2022 | 563.12 | 45,500.00 | 733.57 | 163,000.00 | 750.00 | 75,000.00 | 351.15 |
| 11/13/2022 | 563.12 | 45,500.00 | 733.57 | 163,000.00 | 750.00 | 75,000.00 | 351.15 |
| 11/14/2022 | 550.09 | 44,700.00 | 733.57 | 163,000.00 | 750.00 | 75,000.00 | 360.37 |
| 11/15/2022 | 548.71 | 44,500.00 | 728.58 | 162,000.00 | 750.00 | 75,000.00 | 367.08 |
| 11/16/2022 | 547.36 | 44,500.00 | 728.58 | 162,000.00 | 750.00 | 75,000.00 | 370.22 |
| 11/17/2022 | 536.76 | 43,800.00 | 728.58 | 162,000.00 | 750.00 | 75,000.00 | 368.69 |
| 11/18/2022 | 536.44 | 43,800.00 | 728.58 | 162,000.00 | 750.00 | 75,000.00 | 366.43 |




www.gmsinc.net
GMS_Leadership
GMS, Inc.
snp@gmsinc.net

**Athens**, Greece Tel: +30.210.899.0669
**Cumberland**, USA Tel: +1.301.759.9240
**Hamburg**, Germany Tel: +49.40. 3197.9963
**Shanghai**, China Tel: +86.216.075.1900
**Singapore** Tel: +65.6823.8037
**Bhavnagar**, India Tel: +91.278.300.5253
**Dubai**, UAE Tel: +971.4.423.0720
**New York**, USA: +1.240.505.9716
**Seoul**, South Korea Tel: +82.10.4650.0720
**Tokyo**, Japan Tel: +81.3.5453.6311